INDUSTRY RATING

Commercial & Professional Services: Market Weight

Oil, Gas & Consumable Fuels: Overweight

(NBC Economics and Strategy)

Industrial & Residential Waste

Post M&A call takeaways: if you are bullish on the west (we are), the deal makes sense

Conference call takeaways – reaffirming our earlier "win-win" stance

1) Solid waste remains the core strategy; **2)** Confidence in Western Canadian growth; **3)** Deal is leverage-neutral; significant B/S optionality intact.

Deal is mid-teens % accretive on FCF per share

We ran the math on pro forma 2026E FCF per share for GFL. Both SES and GFL guide on FCF instead of EPS, hence the reason for FCF accretion vs. typical EPS as there is less variability in inputs. Our estimates imply a 12% / 15% FCF/share accretion with and without synergies respectively on GFL's 2026E FCF / sh (after growth CapEx assumptions from both Secure and GFL). The deal is funded 20% by net debt (the company aims to use cash on hand and its revolver which carries a higher interest rate than term loans), as well as 80% equity. GFL also benefits from a lower cash tax rate vs. Secure due to tax loss carry forwards which further enhances the accretion profile of the acquisition. We expect leverage to be in the low-3's post the deal.

Bottom line – underlying strategic and financial rationale is sound.

From GFL's perspective, the transaction provides a needle-moving expansion into a complementary geography and end-markets while notably boosting margins (and especially FCF generation) with potential upside from synergies 2x to 3x the initial $25 mln target (mostly "low-hanging fruit" and readily achievable through redundant SG&A reductions). For SES shareholders, the offer represents incremental upside on top of a +72% LTM share price return through Friday's close and (in our view) very material upside through 16% ownership in the pro forma combined entity. We believe the incremental increase in earnings cyclicality is fairly minimal, especially in light of a relatively favourable macro outlook for Western Canada and much better sentiment towards long-term oil sands production growth. As such, we believe the -7% selloff in GFL shares is overdone (the company is NOT shifting its strategy from the highly defensive solid waste sector). On the other hand, SES shares are trading right around $23 – a material discount to the offer price – perhaps due to concerns about regulatory hurdles in light of past events around Tervita assets. Net-net, we believe the transaction is a positive development for the combined entity and further scales GFL's business to nearly equal footing with its largest North American peers.

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From GFL's perspective, the transaction provides a needle-moving expansion into a complementary geography and end-markets while notably boosting margins (and especially FCF generation) with potential upside from synergies 2x to 3x the initial $25 mln target (mostly "low-hanging fruit" and readily achievable through redundant SG&A reductions). For SES shareholders, the offer represents incremental upside on top of a +72% LTM share price return through Friday's close and (in our view) very material upside through 16% ownership in the pro forma combined entity. We believe the incremental increase in earnings cyclicality is fairly minimal, especially in light of a relatively favourable macro outlook for Western Canada and much better sentiment towards long-term oil sands production growth. As such, we believe the -7% selloff in GFL shares is overdone (the company is NOT shifting its strategy from the highly defensive solid waste sector). On the other hand, SES shares are trading right around $23 – a material discount to the offer price – perhaps due to concerns about regulatory hurdles in light of past events around Tervita assets. Net-net, we believe the transaction is a positive development for the combined entity and further scales GFL's business to nearly equal footing with its largest North American peers. Our ratings, target prices and valuation methodology for our waste coverage are summarized in *Figure 1* below.

Figure 1: Ratings and valuation methodology

Company	Ticker	Rating	Local Price	Target Price	Valuation Methodology
GFL Environmental Inc.	GFL.TO	OP	$55.45	$78.00	15.0x EV/EBITDA on blended 2026E / 2027E EBITDA
Badger Infrastructure Solutions Ltd.	BDGI.TO	SP	$63.69	$74.00	9.0x EV/EBITDA on blended 2026E / 2027E EBITDA
SECURE Waste Infrastructure Corp.	SES.TO	SP	$22.95	$21.00	10.0x / 9.0x EV/EBITDA on blended 2026E / 2027E EBITDA for the Waste Management / Energy Infrastructure segments

Source: NBCM, Company reports, LSEG

Figure 2: GFL - NAV

EV / EBITDA Multiple									Target
($ 000's, except per share)		2021A	2022A	2023A	2024A	2025A	2026E	2027E	2026E / 2027E
Adjusted EBITDA	15.0x	$1,463,700	$1,720,800	$2,003,700	$2,250,500	$1,985,000	$2,150,354	$2,392,918	**$34,074,539**
Minus: Net Debt									$6,175,374
Add: Remaining GIP Stake									$832,500
Add: Remaining ES Stake									$1,500,000
Equity Value									**$30,231,666**
Shares Outstanding - Diluted (000's)									389,441
Net Asset Value									**$77.63**
Current Share Price									$55.45
Potential Appreciation to NAV (Inclusive of Dividend)									**40%**

Source: NBCM, Company reports, LSEG

Conference call takeaways – reaffirming our earlier "win-win" stance

- **Solid waste remains the core strategy.** Despite having limited overlap geographically and in terms of end-markets, the SES acquisition does not represent a change in management's strategic direction, and GFL remains firmly focused on its core solid waste business. As such, we expect (at least) several hundred $ mln of incremental deployment in this space across North America, and a proven value-additive integration and optimization playbook is still a core pillar of our bullish stance on GFL shares.
- **Confidence in Western Canadian growth.** Management expects Western Canada to quarterback the country's growth over the next several years, and is confident in the long-term prospects for oil with expectations of low-single-digit production volume growth in the near- to medium-term. While some market participants expressed concerns about increased pro-forma earnings cyclicality through higher commodity exposure, SES' cash flows are largely insulated from more volatile drilling and completions activities (20% of EBITDA), with 65% tied to ongoing production and 15% to industrial end-markets.

- **Deal is leverage-neutral; significant B/S optionality intact.** While GFL generally prefers to finance M&A with cash / debt over equity to minimize shareholder dilution, we believe the 20% / 80% mix for SES is the strategically correct approach. In addition to freeing up an incremental $1 bln in capital capacity, the leverage-neutral impact maintains capital deployment optionality while keeping GFL on a path of a steadily-improving credit profile (outstanding SES notes are expected to be exchanged for GFL paper or redeemed by tapping high-yield bond markets).

Deal is mid-teens % accretive on FCF per share

We ran the math on pro forma 2026E FCF per share for GFL. Both SES and GFL guide on FCF instead of EPS, hence the reason for FCF accretion vs. typical EPS as there is less variability in inputs. Our estimates imply a 12% / 15% FCF/share accretion with and without synergies respectively on GFL's 2026E FCF / sh (after growth CapEx assumptions from both Secure and GFL). The deal is funded 20% by net debt (the company aims to use cash on hand and its revolver which carries a higher interest rate than term loans), as well as 80% equity. GFL also benefits from a lower cash tax rate vs. Secure due to tax loss carry forwards which further enhances the accretion profile of the acquisition. We expect leverage to be in the low-3's post the deal.

Figure 3: FCF per share accretion analysis for SECURE acquisition by GFL

Potential M&A transaction financials + assumptions (in C$000s unless noted)			
GFL end of Q4/25		**Outright takeover assumptions**	
Cash	85,600	Tax rate (Cash Taxes)	-5.0%
Debt	7,422,600	Synergies ($25 mln)	2%
GFL Net debt (end of Q4/25)	**7,337,000**	Debt being funded (20%)	1,293,164
2025A EBITDA	1,985,000	Equity being issued (80%)	5,172,656
2026E EBITDA	2,150,354	Target Net Revenue 2026E (NBCM)	1,602,262
GFL 2026E EV/EBITDA	12.9x	Target Legacy Interest and Taxes as a % of Rev	7%
Target : SECURE		Implied EBITDA Growth 2026E	8%
Target EV ($24.75 per share purchase price)	6,465,820	Net debt to EBITDA - Q4/25	3.70x
Transaction multiple (ex synergies)	11.9x	Pro-forma net debt to EBITDA (ex. synergies)[3]	3.20x
Target EBITDA 2026E (NBCM estimate) [1]	542,568	Pro-forma net debt to EBITDA (w/ synergies)	3.18x
Implied Margin 2026E [2]	33.9%		
Pro forma FCF (2026E - full year)			
GFL Standalone 2026E FCF	833,725	GFL stand-alone 2026A shares outstanding	378,017
Target FCF (after growth capex) 2026E	219,404	GFL share price (pre-announcement)	$59.62
Pro-forma FCF 2026E	1,053,129	Share issuance discount + fees	4.0%
Pro-forma FCF w synergies	1,078,129	Interest on debt (Revolver)	6.0%

Takeover- FCF/share accretion analysis (with 0% synergies)		Takeover- FCF/share accretion analysis (100% synergies)	
Acquired FCF 2026E	219,404	Acquired FCF 2026E	219,404
Synergies	0	Synergies	25,000
Add Back - Target Legacy Interest	53,789	Add Back - Target Legacy Interest	53,789
Add Back - Target Legacy Taxes	60,347	Add Back - Target Legacy Taxes	60,347
Acquired FCF pre tax & interest	**333,540**	**Acquired FCF pre tax & interest**	**358,540**
Additional interest expense	77,590	Additional interest expense	77,590
Taxes	-16,677	Taxes	-17,927
Acquired FCF	**272,627**	**Acquired FCF**	**298,877**
Shares issued (including overallotment)	83,423	Shares issued (including overallotment)	83,423
New shares outstanding	461,440	New shares outstanding	461,440
GFL 2026E adjusted standalone FCF/Share	$2.14	GFL 2026E adjusted standalone FCF/Share	$2.14
GFL 2026E adjusted FCF (legacy)	833,725	GFL 2026E adjusted FCF (legacy)	833,725
Acquired FCF	272,627	Acquired FCF	298,877
Pro-forma FCF	**1,106,352**	**Pro-forma FCF**	**1,132,602**
Pro-forma FCF per share	**$2.40**	**Pro-forma FCF per share**	**$2.45**
FCF per share accretion (absolute)	**$0.26**	**FCF per share accretion (absolute)**	**$0.31**
FCF accretion (percent)	**12%**	**FCF accretion (percent)**	**15%**
Transaction multiple (with no synergies)	**11.9x**	**Transaction multiple (100% synergies)**	**11.4x**

Source: NBCM, Company reports, LSEG

Fleshing Out Incremental Deal Mechanics

We highlighted the primary high-level financial metrics for the acquisition in our flash earlier today (Win win transaction amid improving commodity backdrop in Canada), and the conference call (takeaways below) reaffirmed our initial impressions of the deal. Looking into the deal terms more finely, the transaction is expected to close in H2/26E, subject to customary closing conditions and regulatory approvals as well as approval by SES shareholders at the special meeting in late May. According to GFL / SES, the deal

*"requires approval by at least: **(i)** 66 2/3% of the votes cast by SECURE common shareholders represented in person or by proxy at the Special Meeting; and **(ii)** a simple majority of the votes cast by SECURE common shareholders represented in person or by proxy at the Special Meeting, excluding those votes attached to SECURE common shares held by persons required to be excluded pursuant to Multilateral Instrument 61-101 - Protection of Minority Security Holders in Special Transactions."*

An assigned Special Committee of the SES Board (as well as the broader BoD) has unanimously recommended approval of the proposed transaction and have agreed to vote in favour; GFL's BoD has also unanimously approved the transaction. Angelo, Gordon & Co. LP and Solus Alternative Asset Management LP – which own a combined 20% of outstanding SES shares – have also agreed to vote in favour of the transaction at the special meeting.

The Arrangement Agreement stipulates that SES would not solicit or initiate discussions for competing transactions (subject to customary "fiduciary out" rights to respond to a superior proposal) and would grant GFL the right to match any potential superior proposal. If the transaction is terminated under specific terms, SES will pay GFL a termination fee of $200 mln while GFL's reverse breakup fee payable to SES stands at $20 mln.

Comps

Table 1: Waste Comps

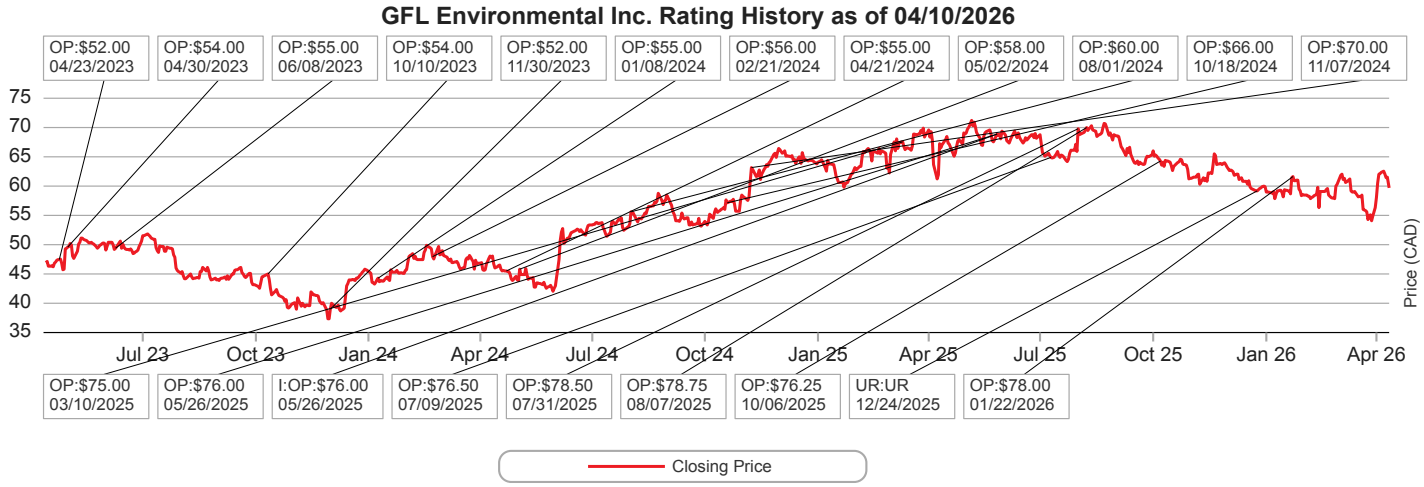
	Ticker	Rating	Currency	Local Price	Target Price	Dividend Annual	Dividend Yield	Total Return	% Off 52-wk High	Market Cap ($mm)	EPS 2026E	EPS 2027E	P/E 2026E	P/E 2027E	EBITDA ($mm) 2026E	EBITDA ($mm) 2027E	EV/EBITDA 2026E	EV/EBITDA 2027E
Municipal Waste																		
GFL Environmental Inc	GFL.TO	OP	CAD	$55.45	$78.00	$0.09	0.2%	41%	-23%	$20,530	$0.60	$1.08	66.4x	36.8x	$2,150	$2,393	12.9x	11.6x
Waste Management Inc	WM	NR	USD	$229.07	NA	$3.30	1.4%	NA	-8%	$92,293	$8.20	$9.33	27.9x	24.5x	$8,203	$8,800	14.1x	13.1x
Republic Services Inc	RSG	NR	USD	$212.09	NA	$2.41	1.1%	NA	-18%	$65,527	$7.24	$8.05	29.3x	26.3x	$5,506	$5,863	14.5x	13.7x
Waste Connections Inc	WCN	NR	USD	$160.93	NA	$1.33	0.8%	NA	-19%	$41,013	$5.44	$6.19	29.6x	26.0x	$3,317	$3,578	15.1x	14.0x
Casella Waste Systems	CWST.O	NR	USD	$85.42	NA	-	-	NA	-30%	$5,425	$1.18	$1.59	72.3x	53.9x	$464	$505	14.1x	13.0x
Municipal Waste Median							**1.0%**	**40.8%**	**-19%**				**29.6x**	**26.3x**			**14.1x**	**13.1x**
Specialty Waste																		
SECURE Waste	SES.TO	SP	CAD	$22.95	$21.00	$0.42	1.8%	-7%	0%	$5,075	$0.83	$0.96	27.8x	23.9x	$543	$578	11.2x	10.5x
Badger Infrastructure	BDGI.TO	SP	CAD	$63.69	$74.00	$0.78	1.2%	17%	-23%	$1,573	$2.37	$3.24	19.7x	14.4x	$223	$256	7.9x	6.9x
Clean Harbors Inc	CLH	NR	USD	$304.80	NA	-	-	NA	-4%	$16,250	$8.36	$9.35	36.5x	32.6x	$1,243	$1,333	14.4x	13.4x
Enviri Corp	NVRI.K	NR	USD	$19.46	NA	-	-	NA	-3%	$1,609	-$0.50	$0.01	nm	1946.0x	$290	$332	10.7x	9.3x
Select Water Solutions Inc	WTTR.K	NR	USD	$14.96	NA	$0.28	1.9%	NA	-6%	$2,065	$0.27	$0.48	56.0x	31.1x	$287	$322	6.9x	6.1x
Toro Co	TTC	NR	USD	$96.70	NA	$1.53	1.6%	NA	-8%	$9,373	$4.55	$5.08	21.3x	19.0x	$732	$797	14.2x	13.1x
Alamo Group Inc	ALG	NR	USD	$178.07	NA	$1.24	0.7%	NA	-24%	$2,167	$10.33	$11.89	17.2x	15.0x	$234	$256	8.7x	7.9x
WaterBridge Infrastructure	WBI	NR	USD	$26.54	NA	-	-	NA	-8%	$3,277	$0.68	$1.28	39.3x	20.7x	$450	$526	13.1x	11.2x
Federal Signal Corp	FSS	NR	USD	$115.23	NA	$0.56	0.5%	NA	-13%	$7,017	$4.70	$5.35	24.5x	21.5x	$500	$558	15.1x	13.6x
Specialty Waste Median							**1.2%**		**-8%**				**24.5x**	**21.1x**			**11.9x**	**10.2x**
Equipment Rental Companies																		
United Rentals Inc	URI	NR	USD	$767.90	NA	$7.16	0.9%	NA	-25%	$48,290	$45.74	$52.06	16.8x	14.8x	$7,677	$8,282	8.2x	7.6x
Herc Holdings Inc	HRI	NR	USD	$100.09	NA	$2.80	2.8%	NA	-47%	$3,340	$7.29	$10.80	13.7x	9.3x	$2,069	$2,250	5.6x	5.1x
Equipment Rental Median							**1.9%**		**-36%**				**15.3x**	**12.0x**			**6.9x**	**6.4x**
MidStream																		
Pembina Pipeline Corp	PPL.TO	OP	CAD	$61.55	$63.00	$2.82	4.6%	7%	-4%	$35,779	$2.86	$3.07	21.5x	20.1x	$4,377	$4,564	11.6x	11.1x
Keyera Corp	KEY.TO	SP	CAD	$52.22	$48.00	$2.12	4.1%	-4%	-6%	$14,735	$2.21	$3.18	23.7x	16.4x	$1,680	$2,101	9.5x	7.6x
Gibson Energy Inc	GEI.TO	OP	CAD	$28.60	$30.00	$2.13	7.4%	12%	-6%	$4,933	$1.41	$1.71	20.3x	16.7x	$655	$736	11.4x	10.1x
Midstream Median							**4.6%**		**-6%**				**21.5x**	**16.7x**			**11.4x**	**10.1x**

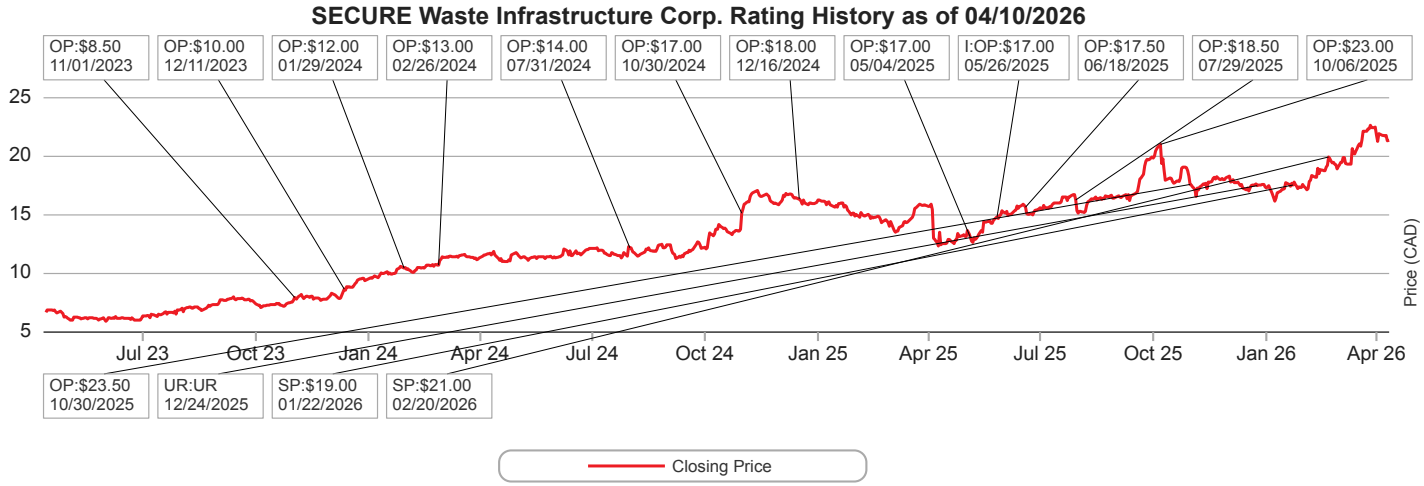
Source: NBCM, Company Reports, LSEG

** PPL KEY and GEI are covered by NBCM Analyst Patrick Kenny. Estimates in the table represent LSEG consensus.*

Disclosures

PRICE, RATING AND TARGET HISTORY: I = Initiation, OP = Outperform, SP = Sector Perform, UP = Underperform, UR = Under Review, R = Restricted; T = Tender (Source: Factset, NBCM)





RISKS:

GFL

Changing government regulations: Solid waste is subject to extensive and evolving laws and regulations administered by the EPA, Environment and Climate Change Canada (ECCC) and various other government agencies.

M&A: As consolidation continues, it may become harder to source and more expensive to close acquisitions. GFL is the smallest of the majors but targets the highest volume of M&A, which could surface integration risks.

Interest rates: GFL's M&A target and shorter debt duration suggest it will need to add/renew debt in the coming years, at which costs will be more sensitive to the level of interest rates.

SES

Oil prices and economic activity: 80% of SES's revenues are tied to oil and gas and industrial production, which are sensitive to oil and gas prices and industrial/economic activity in Western Canada.

Changing government regulations: Solid waste is subject to extensive and evolving laws and regulations administered by the EPA, Environment and Climate Change Canada (ECCC) and various other government agencies.

Opposition to waste disposal facility construction: Vocal opposition to waste disposal facility construction by residents could limit the growth opportunities for SES.

ADDITIONAL COMPANY RELATED DISCLOSURES

GFL Environmental Inc. 2, 3, 4, 7
SECURE Waste Infrastructure Corp. 2, 3, 4, 6, 7, 381
Badger Infrastructure Solutions Ltd.
Gibson Energy Inc. 2, 3, 4, 6, 7, 378
Keyera Corp. 2, 3, 4, 6, 7
Pembina Pipeline Corp. 2, 3, 4, 6, 7, 10

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381 An NBF Analyst attended a tour of SECURE Energy's General Metals Recycling Facility and Drayton Valley Waste Processing Facility in Edmonton, AB on June 17, 2025. A portion of the expenses were paid by the issuer.
378 An NBF associate analyst attended a tour of a Gibson Energy's South Texas Gateway Terminal in Ingleside, Texas from June 9 to 11. A portion of the analyst's expenses were paid by the issuer.

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